IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.302 - CP(CAA)/27(AHM)2022
in
CA(CAA)/78(AHM)2021

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

Om Shakti Fabrics Pvt Ltd **.....Applicants**
Shree Gajanand Silk Mills Pvt Ltd
Khushi Fabrics Pvt Ltd

Order delivered on 19/10/2023

Coram:

Mrs. Chitra Hankare, Hon'ble Member(J)
Dr. Velamur G Venkata Chalapathy, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order. The order is pronounced in open Court, vide separate sheet.

-Sd-

DR. V. G. VENKATA CHALAPATHY
MEMBER (TECHNICAL)

-Sd-

CHITRA HANKARE
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-2

CP (CAA) No.27/NCLT/AHM/2022
in
in CA (CAA) No.78/NCLT/AHM/2021

[Application under Sections 230-232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

Scheme of Merger of

Of

Om Shakti Fabrics Private Limited

(Petitioner Company No. 1/Transferor Company No. 1)

and

Shree Gajanand Silk Mills Private Limited

(Petitioner Company No. 2/Transferor Company No. 2)

with

Khushi Fabrics Private Limited

(Petitioner Company No. 3/Transferee Company)

and

Their respective Shareholders and Creditors

Order Pronounced on 19.10.2023

CORAM:

MRS.CHITRA HANKARE
HON'BLE MEMBER (JUDICIAL)

DR. VELAMUR G VENKATA CHALAPATHY
HON'BLE MEMBER (TECHNICAL)

In the matter of:

Om Shakti Fabrics Private Limited
(CIN: U17291GJ2008PTC052888)
Having its Registered Office at:
Shop-3011, Regent Textile Market,
Ring Road, Surat-395 002 ..Petitioner Company No.1 (Transferor Company No.1)

Shree Gajanand Silk Mills Private Limited
(CIN: U17120GJ2010PTC063048)
Having its Registered Office at:
Shop-3011, Regent Textile Market, Kamela Darwaja, B/S Ambaji Market,
Ring Road, Surat-395 002 ..Petitioner Company No.2 (Transferor Company No.2)

Khushi Fabrics Private Limited
(CIN: U17120GJ2010PTC059443)
Having its Registered Office at:
Shop No. 3023, Regent Textile Market, Near Kamela Darwaja, Ring Road, Surat-395 002 ..Petitioner Company No.3 (Transferee Company)

Appearance:

For the Petitioners : Mr. Kunjal Dalal, Ld. PCS

ORDER

1. The present joint Company Petition is filed by the Petitioner Companies under Sections 230 to 232 with other applicable provisions of the Companies Act, 2013 and Companies (Compromise, Arrangement and Amalgamations) Rules, 2016 seeking approval of the Scheme of Merger with effect from 25.03.2021.

2. An affidavit in support of the above joint petition has been sworn by Shri Shubhashchand Gajanand Goyal on behalf of the Petitioner Companies and authorized vide Board Resolutions dated 25/03/2021 of the Petitioner Companies.

3. The Petitioner Companies had filed a joint Company Application before this Tribunal being CA (CAA) No. 78/NCLT/(AHM)/2021. By an order dated 10/01/2022, this Tribunal directed to convene and hold meetings of the Unsecured Creditors of the Petitioner Company No.3/Transferee Company on 26/02/2022. This Tribunal had dispensed with the meetings of the Equity Shareholders of all the Petitioner Companies and since there are no Secured Creditors in the Petitioner Companies, the meetings of Secured Creditors of the Petitioner Companies are not necessary. This Tribunal also held that since there are no Unsecured Creditors in Petitioner Company Nos. 1 and 2, hence, the meetings of Unsecured Creditors of Petitioner Company Nos. 1 and 2 are not necessary.

4. This Tribunal had appointed Mr. Dhaval Master, PCS and LLB (Gen), as the Chairman of the aforesaid meetings. In compliance of the order dated 10/01/2022, the Petitioner Companies sent individual notices to statutory authorities. The Petitioner Companies also filed affidavit of service of notice to the statutory authorities and publication of notice in the local daily newspaper.

5. In compliance with the directions for convening the meetings of the Unsecured Creditors of the Petitioner Company No. 3

were duly convened on 26/02/2022. The Chairman appointed for the said meetings has filed his reports on 03/03/2022. The said reports confirm the approval of the proposed Scheme of Merger with the requisite majority by the Unsecured Creditors of the Petitioner Company No. 3. Thus, all the stakeholders have approved the Scheme of Merger with the requisite majority.

6. In response to the notice served upon to the Regional Director (RD), a representation dated 29.04.2022 was filed by the RD on 11.05.2022, North-Western Region, along with the report dated 02.03.2022 of the Registrar of Companies (RoC). Their observations are as follows:

The Petitioner Companies have filed their response dated 18.06.2022 to the observations of RD on 22.06.2022.

i) To direct the Petitioner Companies to undertake the compliance of Section 232(3)(i) of the Companies Act, 2013 and to pay fees, accordingly.

<u>Compliance by the Petitioner Companies:</u>

Petitioner Companies have already undertaken to pay the differential fees under Section 232(3)(i) of the Companies Act, 2013.

ii) The Petitioner Companies have not provided in the Scheme any clause/sub-clause for fractional entitlements for the equity shareholders of the Transferor Companies.

Compliance by the Petitioner Companies:

That Clause 19 of the Scheme provides for fractional entitlement as under:

The Board of Directors of the Transferee Company shall be authorized to determine the matters relating to the disposal of fractional entitlement in the best interest of the Shareholders of respective Transferor Companies.

The Transferor Companies are closely held Companies with the members of the family and the question of fractional entitlement can be decided by the Board of Directors mutually with shareholders.

iii) The Petitioner Company Nos. 1 & 2 are not maintaining the registered office in compliance of Section 12 of the Companies Act, 2013.

Compliance by the Petitioner Companies:

Petitioner Companies undertakes to comply with the directions issued by RoC.

iv) The RoC in its report observed the following:

a) The Petitioner Company No. 2 has failed to attach Cash Flow Statement with financial statement for the F.Y. 2018-19 in pursuant to Section 129 r. w. Section 2(40) of the Companies Act, 2013 as the turnover of Petitioner Company No. 2 has exceed more than 02 Crores during the F.Y. 2017-18 and thus, Petitioner Company does not covered under the ambit of small

company and so required to comply with aforesaid provisions of the Act.

Compliance by the Petitioner Companies:

Petitioner Company No. 2 undertake to comply with the directions issued by RoC.

b) Petitioner Companies have not filed application in prescribed e-form GNL-1 under the MCA 21 portal as per the requirement of Section 398 and Section 232(2)(b) of the Companies Act, 2013 r. w. Rule & of Companies (Registration Office and Fees) Rules, 2014.

Compliance by the Petitioner Companies:

Petitioner Companies have submitted that the application was filed physically in office of RoC and the same was responded by RoC vide its letter dated 02.03.2022 to RD and also complied with the technical requirement.

c) Necessary Stamp Duty on transfer of property/Assets is to be paid to respective Authorities before implementation of the Scheme.

Compliance by the Petitioner Companies:

Petitioner Companies undertakes to comply with the directions issued by RoC.

d) To direct the Petitioner Companies to pay legal fees/costs to the Central Government which may be considered appropriate by this Hon'ble NCLT.

Compliance by the Petitioner Companies:

The Petitioner Companies undertakes to pay the requisite legal fees/costs to the Central Government as may be quantified by this Tribunal.

7. In response to the notice served upon to the Official Liquidator (OL), a representation dated 12.08.2022 was filed by the OL on 22.08.2022, Their observations are as follows:

The Petitioner Companies have filed their response dated 12.09.2022 to the observations of OL on 15.09.2022.

Observations of Transferor Company No. 1

i) The Official Liquidator submits that as per the reply dated 05.07.2022 of the Transferor Company No.1, the Authorized and Paid-up Share Capital as on the appointed date is as under:

Share Capital of the Transferor Company

Authorized Share Capital	**Amount In Rs.**
1,00,000 Equity Share of Rs.10/- each	10,00,000/-
Total	**10,00,000/-**
Issued, Subscribed and Paid-up	**Amount in Rs**.
49,000 Equity Share of Rs.10/- each	4,90,000/-
Total	**4,90,000/-**

Subsequent to above, there has been no change in the issued, subscribed and paid-up capital of the Transferor Company No. 1. **However, on perusal of Clause 8 of the**

Scheme of Amalgamation, it appears that the issued, subscribed and paid-up share capital of the 1st Transferor Company is stated as 4,90,000 equity shares of Rs.10/- each, which appears to be incorrect and requires amendment in the Scheme of Amalgamation. That, therefore, this Hon'ble Tribunal may be pleased to direct the Applicant herein to amend Clause 8 of the Scheme of Amalgamation. Further, it is submitted that the appointed Date is fixed as 25.03.2021.

Compliance by the Transferor Company No. 1:

The report of OL has pointed out that the number of shares in clause 8 of the Scheme is wrongly mentioned as 4,90,000 whereas the number of paid-up shares of the company is 49,000. The number of shares has been inadvertently mentioned as 4,90,000 instead of 49,000 shares. It is prayed that the scheme be approved with correction in number of shares mentioned in the scheme submitted. The table in clause 8 after correction shall read as under:

Particulars	**Amount Rs.**
Authorized Share Capital 1,00,000 Equity Shares of Rs.10/- each	10,00,000/-
Issued, Subscribed & Paid-up Share Capital 49,000 Equity Shares of Rs.10/- each	4,90,000/-

Observations of Petitioner Companies:

ii) To direct the Transferor Company to preserve its books of accounts, papers and records and shall not be disposed of

without prior permission of Central Government as per the provision of Section 239 of the Companies Act, 2013.

Compliance by the Petitioner Companies:

The Petitioner Companies undertakes to preserve its books of account, papers and records and shall not dispose the same without prior permission of Central Government as required u/s. 239 of the Act.

iii) To direct the Transferor Company to ensure Statutory compliance of all applicable laws and also on sanctioning of the present Scheme, the Transferor Company shall not be absolved from any of its statutory liabilities, in any manner.

Compliance by the Petitioner Companies:

The Petitioner Companies undertakes to make statutory compliance of all the applicable law.

iv) The Transferor Company may be dissolved without following the process of winding-up in terms of sub-section 3(d) of Section 232 of the Companies Act, 2013. Further the Transferor Company being dissolved, the fee, if any, paid by the Transferor Company on its Authorized Share Capital shall be set-off against any fees payable by the Transferee Company on its Authorized Capital subsequent to the amalgamation in terms of sub section 3(i) of Section 232 of Companies Act, 2013.

Compliance by the Petitioner Companies:

The Petitioner Companies undertakes to pay the differential fees payable on increased authorized capital of the Transferee Company on account of amalgamation.

v) To direct the Transferee Company to pay such costs and expenses to the office of the official liquidator for the Transferor Company or any such amount as may be considered appropriate by this Bench.

Compliance by the Petitioner Companies:

The Petitioner Companies undertakes to pay the requisite fees to the Official Liquidator as may be quantified by this Tribunal.

8. In response to the notice of hearing served to the Income Tax Authority, the Income Tax Officer has filed its report on 20.06.2022 and submitted that no demand outstanding and no assessment proceedings are pending against the Petitioner Companies as per the records.

9. The Petitioner Companies had filed Second Motion Joint Petition Being CP (CAA) No.27/NCLT/AHM/2022 before this Tribunal on 11.03.2022 seeking sanction of the proposed Scheme of Merger.

10. This Tribunal, by order dated 20.04.2022 admitted the aforesaid petition and directed issuance of notices to the Regional Director, the Registrar of Companies, Income Tax Authority and the Official Liquidator informing the date of hearing and also directed for publication of notice. The notice in respect of hearing of the Company Petition was served upon all

concerned statutory authorities. Affidavit to that effect is also filed by the Petitioner Companies on this Tribunal.

11. Pursuant to the order dated 20.04.2022 and issuance of notices to the statutory authorities and publication of the notice in the local dailies, no representation is received.

12. No winding-up proceedings have been filed or are pending against the petitioner companies under the Companies Act, 2013 or under the corresponding provisions of the Companies Act, 1956.

13. The Statutory Auditor of the Petitioner Companies has certified that the Accounting Treatment of the Scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013.

14. The Petitioner Companies have stated in the Petition that no inspection or investigation has been instituted or is pending against any of the Petitioner Companies under the provisions of the Companies Act, 2013. It was also stated that if there is any deficiency found, or violation committed of any enactment, statutory rules or regulations, the sanction granted by the Tribunal to the scheme will not come in the way of action being taken in accordance with law, against the concerned persons, directors and officials of the Petitioner Companies.

15. We have heard Mr. Kunjal Dalal, Ld. PCS for the Petitioner Companies and also gone through the records.

16. As per the order dated 02.08.2022 of the Tribunal, Asst. Director for the RD stated that they have no objections, and are

satisfied by the response filed by the Petitioner and Ld. Adv. for the Income Tax Authority also has no objection to the approval of the scheme. Further, as per order dated 01.08.2023, Mr. Sandip, Junior Technical Assistant (JTA) appears on behalf of the Official Liquidator and stated that their observation has been considered and revised Scheme has been filed by the Petitioner Companies. After, considering the same, the office of the OL has no objection to the approval of the Scheme.

17. On the basis of above facts and submissions made by the Ld. PCS and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of Sections 230-232 are satisfied by the Petitioner Companies. We are of the considered view that the proposed Scheme of Arrangement is bona fide and in the interest of the shareholders and creditors. In the result, Company Petition No. CP (CAA) No.27 of 2022 is allowed. The Scheme envisages the amalgamation of Om Shakti Fabrics Private Limited, (Transferor Company No. 1) and Shree Gajanand Silk Mills Private Limited (Transferor Company No. 2) with Khushi Fabrics Private Limited, (Transferee Company). It is declared that the said sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors, and all concerned under the scheme.

18. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in

accordance with the law, against the concerned persons, directors and officials of the petitioners.

19. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST, etc., or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law. It is further clarified that the Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of arrangement given hereunder shall not adversely affect the rights of the Income Tax Department on any past, present or future proceedings.

20. This Tribunal orders as under:-

(i) The Scheme of Merger as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

(ii) It is declared that the Transferor Companies shall be dissolved without winding up.

(iii) All the property annexed herewith as **"Annexure B"**, right and powers of the Transferor Companies specified in the schedule hereto and all the other property, rights and powers of the Transferor Companies be transferred

without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vested in the Transferee Company for all the estates and interest of the Transferor Companies therein.

(iv) Upon the scheme becoming effective and vesting of assets and liabilities of Transferor Companies in the Transferee Company the shareholders of Transferor Companies shall be without any further application be issued and allotted Equity Shares of Transferee Company credited as fully paid up to the extent indicated below:-

100 Equity Share of Rs. 10/- each credited as fully paid up of Khushi Fabrics Private Limited shall be allotted to Shareholders of Om Shakti Fabrics Private Limited for Every 191 Equity Shares held in Om Shakti Fabrics Private Limited.

100 Equity Share of Rs. 10/- each credited as fully paid up of Khushi Fabrics Private Limited shall be allotted to Shareholders of Shree Gajanand Silk Mills Private Limited for every 70 Equity Shares held in Shree Gajanand Silk Mills Private Limited.

No shares shall be issued to in respect of shares of Transferor Companies held by other Transferor Companies or Transferee Company on effective date.

(v) All the liabilities and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, and become the

liabilities and duties of the Transferee Company.

(vi) All proceedings, if any, now pending against the Transferor Companies be continued by or against the Transferee Company.

(vii) All workers/employees of all the Transferor Companies shall be deemed to become the workers/employees of the Transferee Company with effect from the Appointed Date, and shall stand absorbed in the Transferee Company in accordance with the Scheme without any interruption of service and on terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date.

(viii) The Petitioner Companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the entire Undertaking of the Transferor Companies shall stand transferred to the Transferee Company and the Registrar of Companies shall place all documents relating to the Transferor Companies to the file kept by him in relation to the Transferee Company and the files relating to the said companies shall be treated accordingly.

(ix) All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme.

(x) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets attached as Annexure-B with this order, duly

authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(xi) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the concerned the Registrar of Companies, electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(xii) The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/-in respect of each of the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company.

(xiii) The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.10,000/-in respect of each of the Transferor Companies. The said fees of the Official Liquidator shall be paid by the Transferee Company.

(xiv) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the authenticated copy of this order along with Scheme immediately.

(xv) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

21. The Company Petition CP (CAA) No. 27 of 2022 connected with CA (CAA) No. 78 of 2021 stands disposed off.

-Sd-

DR. V. G. VENKATA CHALAPATHY
MEMBER (TECHNICAL)

-Sd-

CHITRA HANKARE
MEMBER (JUDICIAL)

SK

Annexure-A

Annexure H 281

SCHEME OF MERGER

OF

OM SHAKTI FABRICS PRIVATE LIMITED

(CIN: U17291GJ2008PTC052888)

(Transferor Company No. 1)

AND

SHREE GAJANAND SILK MILLS PRIVATE LIMITED

(CIN: U17120GJ2010PTC063048)

(Transferor Company No. 2)

WITH

KHUSHI FABRICS PRIVATE LIMITED

(CIN: U17120GJ2010PTC059443)

(Transferee Company)

(Pursuant to Sections 230 and 232 of the Companies Act 2013)

PREAMBLE & RATIONALE

Whereas

1 This scheme of Merger (herein after referred to as scheme) provides for merger of Om Shakti Fabrics Private Limited, Transferor Company Number 1, Shree Gajanand Silk Mills Private Limited, Transferor Company Number 2 with Khushi Fabrics Private Limited, Transferee Company pursuant to section 230 and 230(2) of The Companies Act 2013 and other relevant provisions of The Companies Act 2013 and Rules made there under.

2. That Transferor No. 1 Company Om Shakti Fabrics Private Limited

For, Shree Gajanand Silk Mills Pvt. Ltd.

For, Om Shakti Fabrics Pvt. Ltd.

For Khushi Fabrics Pvt. Ltd.

Director/Auth.

Director/Auth.

Director/Auth.

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CHANDRESH S. PUJARA
NOTARY
SURAT CITY

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

is a Private Limited Company incorporated on 12th day of February, 2008 under The Companies Act, 1956 with the name Goyal Embroideries Private Limited. The name of the company was changed to Om Shakti Fabrics Private Limited vide fresh Certificate of Incorporation issued by Registrar of Companies on 06th day of January, 2014. The Registered office of Transferor No. 1 Company is presently situated at Shop-3011, Regent Textile Market, Ring Road, Surat 395002. The Company Identification Number (CIN) of Transferor No. 1 Company is U17291GJ2008PTC052888. The Permanent Account Number (PAN) of Transferor No. 1 Company is AADCG0852A under Jurisdiction of Ward 2(1)(1), Surat. The main objects of the Company have been set out in Memorandum of Association of the Company. Clause-10 of Memorandum of Association authorizes the company to amalgamate with other companies/entities. The status of the company is Active as per Company Master Data on MCA21 Portal.

3. That Transferor No. 2 Company Shree Gajanand Silk Mills Private Limited is a Private Limited Company incorporated on 29th day of November, 2010 under The Companies Act, 1956 with the name Nirmala Creation Private Limited. The name of the company was changed to Shree Gajanand Silk Mills Private Limited vide fresh Certificate of Incorporation issued by Registrar of Companies on 09th November, 2017. The Registered office of Transferor No. 1 Company is presently situated at Shop-3011, Regent Textile Market, Ring Road, Surat 395002. The Registered office of

For, Shree Gajanand Silk Mills Pvt. Ltd.

For, Om Shakti Fabrics Pvt. Ltd.

Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.

Director/Auth.

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SHAILESH S. PUJARA
NOTARY
SURAT CITY

Transferor No. 2 Company is presently situated at Shop-3011, Regent Textile Market, Kamela Darwaja, B/S Ambaji Market, Ring Road Surat 395002. The Company Identification Number (CIN) of Transferor No. 2 Company is U17120GJ2010PTC059443. The Permanent Account Number (PAN) of Transferor No. 2 Company is AADCN4589K under Jurisdiction of Ward 2(1)(3), Surat. The main objects of the Company have been set out in Memorandum of Association of the Company. Clause10 of Memorandum of Association authorize the company to amalgamate with other companies/entities. The status of the company is Active as per Company Master Data on MCA21 Portal.

4. That Transferee Company Khushi Fabrics Private Limited is a Private Limited Company incorporated on 05th February, 2010 under The Companies Act, 1956. The Registered office of Transferee Company is situated at Shop No. 3023, Regent Textile Market, Near Kamela Darwaja, Ring Road, Surat 395002. The Company Identification Number (CIN) of Transferee Company is U17120GJ2010PTC059443. The Permanent Account Number (PAN) of Transferee Company is AADCK8954B under Jurisdiction of Ward 1(1)(3) Surat. The main objects of the Company have been set out in Memorandum of Association of the Company. Clause 10 of Memorandum of Association authorizes the company to amalgamate with other companies/entities. The status of the company is Active as per Company Master Data on MCA21 Portal.

5. **RATIONALE FOR PROPOSED MERGER:**

For, Khushi Fabrics Pvt. Ltd.
Direc.Jt./Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director/Auth.

ATTESTED
S. PUJARA
NOTARY
SURAT CITY

NOTARY Regd No. 2753 GOVT. OF INDIA

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

The Scheme of Amalgamation is expected to yield the following benefits

(i) Enable consolidation of the business of the applicant companies into one entity which will facilitate in focused growth, operational efficiencies, business synergies and better supervision of the business of the group.

(ii) Pooling of resources (including manpower, management and administration and marketing resources) of the aforesaid companies resulting in, synergies of operations and optimization of logistics, resulting in more productive utilization of said resources, savings in cost and operational efficiencies.

(iii) Strengthening financial position and increased leverage capacity of the merged entity

(iv) Concentrated management focus, improved organizational capacity, integration rationalization and streamlining of the management structure of the merged entity, seamless implementation of policy changes at a higher level from a management perspective and shall also help enhance the efficiency and control of the entities.

(v) Facilitating internal transfer of resources and optimum utilization of assets

(vi) Avoiding duplication of administrative functions, reduction in multiplicity of legal and regulatory compliances

(vii) Enable the creation of a platform for a new business segment and to act as a gateway for growth and expansion of

For, Om Shakti Fabrics Pvt. Ltd. For, Om Shakti Fabrics Pvt. Ltd. For, Shree Gajanand Silk Mills Pvt. Ltd.

Director / Auth. Director / Auth. Director / Auth.

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SHAILESH S. PUJARA
NOTARY
SURAT CITY

business operations.

PART I - GENERAL

7. DEFINITIONS:

In this scheme, unless inconsistent with or repugnant to the subject of context the following expressions shall have the meaning given to them below :-

a. **"Act" or 'The said Act'** means the Companies Act, 2013 as in force from time to time

b. **"Appointed Date"** means 25th Day of March 2021 being the date from which this Scheme shall become applicable i.e. date with effect from which the transferor companies shall merge with transferee company or any other date which Honorable Company Law Tribunal directs or deems fit in the circumstances of case and time taken in the completion of formalities.

c. **"Board"** or **"Board of Directors"** means the board of directors of the Transferor Company or the Transferee Company, as the case may be, and shall, unless it is repugnant to the context or otherwise, include a committee of directors or any person authorized by the board of directors or such committee of directors:

d. **"Effective Date"** means the date or last of the dates on which the certified copies of the orders of the Honourable Company Law Tribunal sanctioning this Scheme is filed with the concerned Registrar of Companies by the Transferor

For, Khushi Fabrics Pvt. Ltd.
Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director/Auth.

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S. PUJARA
NOTARY
SURAT CITY

SHAILESH S. PUJARA
Surat Dist.
NOTARY
Regd. No. 2763
GOVT. OF INDIA

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD

Companies and the Transferee Company.

e. **'Scheme of Merger" or 'Scheme of Amalgamation'** or **"Scheme"** or **"The Scheme"** or **"This Scheme"** means this Scheme of merger in its present form with any modification(s) approved, imposed, or directed by the Tribunal.

f. **'Transferee Company'** means **'Khushi Fabrics Private Limited'**, a Private limited company incorporated under the Companies Act,1956 on 05th February, 2010 and having CIN U17120GJ2010PTC059443.

g. **'Transferor Company** Number **1"** means **'Om Shakti Fabrics Private Limited'**, a company incorporated under the Companies Act, 1956 on 12th February, 2008 and having CIN : U17291GJ2008PTC052888.

h. **'Transferor Company Number 2"** means **'Shree Gajanand Silk Mills Private Limited'**, a company incorporated under the Companies Act,1956 on 29th day of November, 2010 and having CIN U17120GJ2010PTC059443.

i. **'Transferor Companies'** means Transferor Company Number 1, and Transferor Company number 2 .

j. **"Tribunal"** means the National Company Law Tribunal **("NCLT")** & the National Company Law Appellate Tribunal **("NCLAT")** as constituted and authorized as per the provisions of the Companies Act, 2013 for approving any scheme of arrangement, compromise or reconstruction of companies under section 230 to 240 of the Companies Act, 2013.

For, Khushi Fabrics Pvt. Ltd.
Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director/Auth.

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NOTARY
SURAT CITY

SHAILESH S. PUJARA Surat District NOTARY Regd. No. 2065 GOVT. OF INDIA

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD BENCH

k. **'Undertakings'** shall mean and include

i. All the assets and properties (weather movable or immovable, tangible or intangible) of the Transferor companies as on appointed date (herein after referred to as Assets).

ii. All the debts, liabilities, duties and obligations of the transferor companies as on Appointed date (herein referred to as Liabilities)

iii. Without prejudice to the generality of sub clauses above, the under taking of the transferor companies shall include all the transferor companies reserves, movable and immovable properties , assets including lease hold rights, tenancy rights, industrial and other licenses, permits, authorisations, quota, rights, trademarks, patents and other industrial and intellectual properties, investments in shares debentures and other securities, sundry debtors, cash and Bank, loans and Advances, telephones, emails and other communication facilities and equipments, rights and benefits of all agreements and all other interest, rights and powers of every kind, nature and description whatsoever , privileges, liberties, easements, advantages, benefits, approvals.

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning as ascribed to them under the Act and other applicable laws, rules, regulations and byelaws as the case may

For, Khushi Fabrics Pvt. Ltd. For, Om Shakti Fabrics Pvt. Ltd. For, Shree Gajanand Silk Mills Pvt. Ltd.

Director/ Auth. Director/ Auth. Director/ Auth.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

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be, including any statutory modification or re-enactment thereof from time to time

8. **SHARE CAPITAL:**

The Authorised, Issued, Subscribed and paid Up Share Capital of Transferor Number 1 Company (Om Shakti Fabrics Private Limited) as per Audited financial Statements as on 31st March 2020 is as under :

Particulars	Amount Rs.
Authorised Share Capital 1,00,000 Equity Shares of Rs.10/- each	10,00,000/-
Issued, Subscribed & Paid-up Share Capital 49000 Equity Shares of Rs.10/- each	4,90,000/-

There is no change in above share capital till date of filing of this application. 7000 equity shares of Transferor No. 1 Company are held by Transferee Company

9. The Authorised, Issued, Subscribed and paid Up Share Capital of Transferor Number 2 Company (Shree Gajanand Silk Mills Private Limited) as per Audited financial Statements as on 31st March 2020 is as under :

Particulars	Amount Rs.
Authorised Share Capital 150000 Equity Shares of Rs.10/- each	15,00,000/-
Issued, Subscribed & Paid-up Share Capital 18608 Equity Shares of Rs.10/- each	1,86,080/-

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
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There is no change in above share capital till date of filing of this application. No Shares of Transferor No. 2 company are held by Transferor Company No. 1 or Transferee Company.

10. The Authorised, Issued, Subscribed and paid Up Share Capital of Transferee Company (Khushi Fabrics Private Limited) as per Audited financial Statements as on 31st March 2020 is as under

Particulars	Amount Rs.
Authorised Share Capital 100000 Equity Shares of Rs.10/- each	10,00,000/-
Issued, Subscribed & Paid-up Share Capital 70016 Equity Shares of RS.10/- each	7,00,160/-

There is no change in above share capital till date of filing of this application. No Shares of Transferee company are held by other Transferor Companies.

PART II

11. **TRANSFER OF UNDERTAKING**

Upon coming into effect this scheme for Appointed Date and pursuant to provisions of the Act and subject to provisions of this scheme :-

a. All the 'Undertakings' of The transferor Companies shall without and further act, instrument or deed stand transferred to and vested in and/or deemed to have been transferred and vested in the transferee company as going concern so as to become the estate, right, title and interest and authorities of

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For, Khushi Fabrics Pvt. Ltd.

Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.

Director/Auth.

For, Sharda Gajanand Silk Mills Pvt. Ltd.

Director/Auth.

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the transferee company provided always that the scheme shall not operate to enlarge the security for any loan, deposit or facility created by or available to the transferor companies which shall vest with the transferee company by virtue of the merger and the transferee company shall not be obliged to create any further or additional security and shall after merger has become effective or otherwise.

b. All the liabilities shall without any further act or instrument or deed be and stand transferred to the transferee company so as to become as form date of appointed date the debts, liabilities, duties and obligations of the transferee company.

c. Subject to such other clauses of the scheme, all loans raised and utilised and all debts, duties, undertakings, liabilities and obligations incurred or undertaken by the transferor companies in relation to or in connection with the undertaking after the appointed date and prior to effective date shall be deemed to have been raised, used, incurred or undertaken for and on behalf of the transferee company and to the extent they are outstanding on the effective date shall upon the coming into effect this scheme, pursuant to the provisions of the Act without any further act, instrument or deed be and stand transferred to or vested in or deemed to have been transferred or vested in the transferee company and shall become debt, duties, undertaking, liabilities and obligations of the transferee company with shall meet, discharge and satisfy the same.

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Regd. No. 2007
GOVT. OF INDIA

For Shakti Fabrics Pvt. Ltd.

Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.

Director/Auth.

For Shree Govanand Silk Mills Pvt. Ltd

Director/Auth.

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d. Subject to such other clauses of the scheme, all estate, assets, rights, title, interest, authorisation accrued to and/or acquired by the transferor companies in relation to or in connection with the undertaking after the Appointed date and prior to the Effective date shall have been deemed to have been accrued to and/or acquired for and on behalf of the transferee company and shall upon coming into effect this scheme pursuant to the provisions of The Act without any further act, instrument of deed be and stand transferred or vested in or be deemed to have been transferred or vested in the transferee company to that extent and shall become the estate, asset, right, title, interest and authorization of the transferee company.

e. With affect form the appointed date and subject to any corrections and adjustments as my in the opinion of the Board of Directors of the transferee company be required, the reserves of the transferor companies will be amalgamated with those of transferee company in same forms as they appeared in the financial statements of the transferor company.

f. The transferee company shall adjust the balance of profit and loss account of the transferor companies against its profit and loss account. The unabsorbed depreciation and business losses of the transferor companies would be deemed to be the unabsorbed depreciation and business losses of the transferee company.

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Surat District
Regd. No. 2557
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For, Shree Gajanand Silk Mills Pvt. Ltd.
SURAT CITY
Director/Auth.

For, Khushi Fabrics Pvt. Ltd.
Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

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g. In case of any difference in accounting policy between the transferor companies and the transferee company, the impact of the same till the amalgamation will be quantified and adjusted in the general reserve to ensure that the financial statement of the transferee company reflects the position on the basis of consistent accounting policy.

h. All assets and liabilities including reserves of the transferor companies transferred to transferee company under the scheme shall be recorded in the books of the transferee company at the book value recorded in the transferor company's books of accounts.

i. The transfer and vesting of the undertakings of the transferor companies under the above mentioned clauses and the continuance of the proceedings by the transferee company under this scheme hereof shall not affect any transaction or proceeding already concluded by the transferor companies in ordinary course of business on and after appointed date to the end and intent that the Transferee Company accepts on behalf of itself as acts, deeds, and things done and executed and all transactions or proceedings already concluded by the Transferor Companies.

j. The transferee company shall make suitable alterations to its Memorandum of Association and Articles of Association if necessary for proper implementation of the scheme.

k The reserves created as a result of scheme of amalgamation

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GOVT. OF INDIA

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Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For Shree Gajanand Silk Mills Pvt. Ltd.
Director/Auth.

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being approved shall be transferred to "Capital Reserves" to be utilised as per accounting standards issued by the Institute of Chartered Accountants of India for 'Capital Reserves'. The accounting treatment shall be in compliance with Applicable Accounting Standards specified under Section 133 of The Companies Act 2013 read with Company Accounts (Rules) 2014.

I. On scheme becoming effective, the transferee company shall be entitled to revise its income tax returns and also income tax returns filed by Transferor Companies in so far it is necessitated on account of scheme becoming effective with effect from 18th day of January 2021, being the Appointed date under the scheme.

12. CONTRACTS, DEEDS, BONDS,OTHER INSTRUMETS AND BENEFITS OR PREVILIDGES

a. Upon coming into effect of this scheme all contracts, deeds, bonds, agreements, arrangements and other instruments (including all tenancies, leases, licences and other assurances or powers or authorities granted in favour of transferor companies) to which transferor companies are parties or to the benefit of which the transferor companies may be eligible and instrument or deed, shall be in full force and the effect against or in favour of the Transferee company, as the case may be and may be enforced as fully and effectively as if, instead of transferor companies, the transferee company had been a party or beneficiary or oblige

For, Kaushi Fabrics Pvt. Ltd.
Director / Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director / Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director / Auth.

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thereto. The transferee company shall at any time prior to the effective date wherever necessary enter into and/or issue and/or execute deeds, writings, confirmations any triparty agreements or notations to which the transferor companies will if necessary also be a party in order to give formal effect to the provisions of this clause. All the leases and tenancies made by the transferor companies with respect to its lands, plant and machinery etc. to the third parties shall not determine or terminated by the fact that after amalgamation between the transferor and transferee companies, the transferee company has stepped into the shoes of the transferor companies and no third party interest in such leases and tenancies shall be extinguished.

b. Any inter se contract between the transferor companies and the transferee company shall stand adjusted and vest in the transferee company upon the sanction of the scheme and upon the scheme becoming effective. The share capital in the transferor companies held by the transferee company and vice –versa if any shall accordingly stand cancelled.

c. The transferee company may, at any time after the coming into effect of this scheme in accordance with the provisions hereof, if so required, under any law or otherwise, enter into, or issue or execute deeds, writings, confirmations, notations, declarations, or other documents with, or in favour of any party to any contract or arrangement to which the transferor companies where a party or any writing as may be necessary

For Khushi Fabrics Pvt. Ltd.
Director/ Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/ Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director/ Auth.

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to be executed in order to give formal effect to the contract or arrangement.

d. All the licenses, permits, quotas, approvals, permissions, incentives, sales tax deferrals, loans, subsidies, concessions, grants, rights, claims, leases, tenancy right, liberties, special status and other benefits or privileges enjoyed or conferred upon or held or availed of by and all rights and benefits that have accrued or which may accrue to the transferor companies, shall, pursuant to the provisions of the act, without any further act or deeds, be transferred to and vested in and/or be deemed to have been transferred to and vested in and be available to the transferee company so as to become as and from the appointed date, the licenses, permits, quotas, approval, permission, incentive, sales tax deferrals, loans, subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status and other benefits or privileges of the transferee company and shall remain valid, effective and enforceable as on the same terms and conditions to the extent permissible under law.

e. All benefits / refunds / credits under income tax act, excise (including Modvat / Cenvat), Sales tax (including deferment of sales tax), Value added tax and Service Tax, Goods and Service Tax etc. to which transferor companies is/ are entitled to in terms of the various statutes and /or schemes of Union and state Governments, shall be available to and vest in the transferee company, without any further act or deed.

For, Shree Gajanand Silk Mills Pvt. Ltd.

Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.

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Further the transferee company is also permitted to revise income tax returns and related TDS Certificates.

f. As a consequence of the amalgamation of the Transferor Companies with the Transferee Company in accordance with this Scheme, the recording of change in name from the Transferor Companies to the Transferee Company, whether for the purposes of any licence, permit, approval or any other reason, or whether for the purposes of any transfer, registration, mutation or any other reason, shall be carried out by the concerned statutory or regulatory or any other authority without the requirement of payment of any transfer or registration fee or any other charge or imposition whatsoever.

13 TRANSFEROR COMPANY'S STAFF, WORKMEN AND EMPLOYEES:

All the staff, workmen and other employees in the service of the transferor companies as on the effective date, shall on and from the effective date become the staff, workmen and employees of the transferee company on the basis that:-

a. Their services shall have been continuous and shall not have been interrupted by reason of the transfer of undertakings and that the terms and conditions of service applicable to the said staff, workmen or employees on the effective date as aforesaid shall not in any way be less favourable to them than those applicable to those applicable to them

For, Shree Gajanand Silk Mills Pvt. Ltd.

Director/Auth.

For, Khushi Fabrics Pvt. Ltd.

Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.

Director/Auth.

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immediately before the effective date; and

b. It is expressly provided that as far as Provident fund, Gratuity fund, Superannuation fund, or any other special fund/trust, if any, created or existing for the benefit to the staff, workmen and other employees of the Transferor Companies for all purposes whatsoever related to the administration or operation of such Funds or in relation to the obligation to make contributions to the said Funds in accordance with provisions of such Funds as per the terms provided in the respective Trust Deeds. It is the aim and intent that all the rights, duties, powers and obligations of the Transferor Companies in relation to such funds/Trusts shall become those of the Transferee Company and all the rights, duties and benefits of the employees employed in Transferor Companies under such Funds and Trusts shall be protected. It is further clarified that the services of the employees of the Transferor Companies will also be treated as having been continuous for the purpose of the aforesaid Funds/Trusts.

14 LEGAL PROCEEDINGS:

If any suit, writ petition, appeal, revision or other proceedings of whatever nature (hereinafter called "the proceedings") by or against the Transferor Companies be pending, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the Transfer of the undertakings of the Transferor Companies or of anything contained in the scheme, but the proceedings may be continued, prosecuted and

For Om Shakti Fabrics Pvt. Ltd.
Director / Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director / Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director / Auth.

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enforced by or against the Transferor Companies as if the scheme had not been made. On and from the Effective Date, the Transferee Company shall and may, if required, initiate any legal proceedings for and on behalf of the Transferor Companies.

15 OPERATIVE DATE OF THE SCHEME:

The scheme, although operative from the Appointed date, shall become effective from the effective date.

16 DISSOLUTION OF TRANSFEROR COMPANIES

The Transferor Companies no. 1 and 2 shall stand dissolved w.e.f. Effective Date without the process of winding up.

17 CONDUCT OF BUSINESS BY TRANSFEROR COMPANIES TILL EFFECTIVE DATE:

With effect from the Appointed Date and up to and including the Effective Date, the Transferor Companies:

a Shall carry on and be deemed to carry on all its business and activities and stand possessed of its properties and assets for and on account of and in trust for the Transferee Company and all the Profits or incomes accruing or arising to the Transferor Companies, or expenditure or losses arising or incurred (including the effect of taxes, if any, thereon)by the Transferor Companies shall, for all purposes, be treated and be deemed to be and accrue as the profits or income or expenditure or losses or taxes of the Transferee Company, as the case may be (it is clarified that nay advance Tax paid/

For, Om Shakti Fabrics Pvt. Ltd.
Director / Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director / Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director / Auth.

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TDS Certificates received by the Transferor Companies be treated and be deemed to be and accrue as taxes paid by the transferee Company)

b Hereby undertakes to carry on its businesses with reasonable diligence and shall not, without the written consent of the Transferee Company, alienate charge or otherwise deal with the undertakings or any part thereof except in the ordinary course of their business.

c Shall discharge all their liabilities and obligations for and on account of the Transferee Company.

d Shall not vary the terms and conditions of the employment of its employees except in the ordinary course of business.

18 AUTHORISED SHARE CAPITAL

a Upon the Scheme becoming fully effective, the authorised share capital of the Transferor Companies shall stand combined with the authorised share capital of the Transferee Company. Filing fees and stamp duty, if any, paid by the Transferor Companies on their respective authorised share capital, shall be deemed to have been so paid by the Transferee Company on the combined authorised share capital and accordingly, the Transferee Company shall not be required to pay any feel stamp duty for its increased authorised share capital. The Applicant Companies however undertakes to pay differential registration fee payable pursuant to provisions of Section 232 (3) (i) of the

For Khushi Fabrics Pvt. Ltd.
Director/Auth.

For Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Shree Galanand Silk Mills Pvt. Ltd.
Director/Auth.

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Companies Act, 2013. The differential fees payable on the increased authorised capital of the transferee company consequent on sanctioning of the scheme after setting of fees paid by the transferor companies shall be paid by the transferee company.

b Clause V of the Memorandum of Association of the Transferee Company shall, without any further act, instrument or deed, be and stand altered, modified and amended under applicable provisions of the Act by deleting the existing Clause and replacing it by the following:

V. The Authorised Share Capital of the Company is Rs. 35,00,000/- (Rupees Thirty Five Lacs) divided into 350000 (Three Lac Fifty Thousand) equity shares of Rs.10/-(Rupee Ten) each with power to increase or reduce the capital and with liberty to divide the capital into several classes and to attach thereto respectively such preferential rights, privileges, or conditions in such manner as may be permitted by the Companies Act and as the company deems fit and necessary."

c The approval of this Scheme under Sections 231 and 232 of the Companies Act, 2013 shall be deemed to have the approval under Section 13, 14, 61 & 62 and other applicable provisions of the Companies Act 2013 and any other consents and approvals required in this regard.

19 ISSUE OF SHARES AND TREATMENT OF INTER COMPANY SHAREHOLDING.

For, Khushi Fabrics Pvt. Ltd.
Director/Auth.

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director/Auth.

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Upon scheme becoming effective and vesting of assets and liabilities of Transferor Companies in the Transferee Company the shareholders of Transferor Companies shall be without any further application be issued and allotted Equity Shares of Transferee Company credited as fully paid up to the extent indicated below.

100 Equity Share of Rs. 10/- each credited as fully paid up of Khushi Fabrics Private Limited shall be allotted to Shareholders of Om shakti Fabrics Private Limited for Every 191 Equity Shares held in Om Shakti Fabrics Private Limited.

100 Equity Share of Rs. 10/- each credited as fully paid up of Khushi Fabrics Private Limited shall be allotted to Shareholders of Shree Gajanand Silk Mills Private Limited for every 70 Equity Shares held in Shree Gajanand Silk Mills Private Limited.

The Board of directors of Transferee Company shall be authorized to determine the matters relating to disposal of fractional entitlement in best interest of Shareholders of respective Transferor Companies.

No shares shall be issued to in respect of shares of Transferor Companies held by other Transferor Companies or Transferee Company on effective date.

20 **ACCOUNTING TREATMENT :**

Upon the Scheme becoming effective, the amalgamation of the Transferor Companies with the Transferee Company would follow **'pooling of interest/amalgamation in the nature of**

For, Khushi Fabrics Pvt. Ltd. For, Om Shakti Fabrics Pvt. Ltd. For, Shree Gajanand Silk Mills Pvt. Ltd.

Director / Auth. Director / Auth. Director / Auth.

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merger' method as prescribed in the Accounting Standard 14: 'Accounting for Amalgamations' as per provisions of Section 133 of the Companies Act, 2013, such that:-

a The Transferee Company shall, upon the Scheme coming into effect, record the assets and liabilities of the Transferor Companies vested in it pursuant to this Scheme at the respective book values thereof and in the same form as appearing in the books of the Transferor Companies at the close of business of the day immediately preceding the Appointed Date.

b The Transferee Company shall record the security premium, general reserves and the capital reserves, if any, of the Transferor Companies in the same form and at the same values as they appear in the financial statements of the Transferor Companies at the close of business of the day immediately preceding the Appointed Date. The surplus balance in the Statement of Profit and Loss of the Transferor Companies shall be similarly aggregated with the surplus balances in statement of Profit and Loss of the Transferee Company.

c The accumulated losses/ deficit in the Statement of Profit and Loss of the Transferor Companies shall be shown as goodwill in the books of the Transferee Company

d The difference, if any, between the investment of the Transferee Company and the amount of share capital of the

For, Khushi Fabrics Pvt. Ltd. For, Om Shakti Fabrics Pvt. Ltd. For, Shree Gajanand Silk Mills Pvt. Ltd.

Director/Auth. Director/Auth. Director/Auth.

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NOTARY
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Transferor Companies shall be adjusted in the Reserves of the Transferee Company .

e To the extent there are inter-corporate loans or balances between the transferor Companies and the Transferee Company, the obligations in respect thereof shall come to an end and corresponding effect shall be given in the books of accounts and records of the Transferee Company for the reduction of any assets or liabilities, as the case may be.

f This scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under section 2(1B) of the Income Tax Act, 1961 and other applicable provisions , if any, terms or provisions of the scheme is/are inconsistent with the provisions of the Income Tax Act, 1961, the Provisions of the Income Tax Act, 1961 shall prevail and the scheme shall stand modified to the extent necessary to comply with section 2(1B) of the Income Tax Act, 1961 and other applicable provisions , if any.

21 DIVIDENDS , PROFITS, BONUS/RIGHT SHARES:

a Subject to the provisions of this scheme, the profits or losses of the Transferor Companies for the period beginning from Appointed dated shall be deemed to belong to and be the profits or losses of the Transferee Company and will be available to the Transferee Company for being dealt with/ disposed of in any manner as it thinks fit including declaration of dividend, issue of Bonus Shares, or for the purpose of

For, Shree Gajanand Silk Mills Pvt. Ltd. For, Om Shakti Fabrics Pvt. Ltd. For, Shree Gajanand Silk Mills Pvt. Ltd.

Director / Auth. Director / Auth. Director / Auth.

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SURAT CITY

issue of right shares by the Transferee Company.

b It is further provided that scheme upon coming into effect, the amount of balance lying to the debit of the Profit and Loss Account as represented/shown in the Balance Sheet of the Transferor Companies shall be aggregated by the Transferee Company with similar amounts lying in its own Profit and Loss account as if the same as created by the Transferee Company out of its own funds.

c The opening Balance Sheet shall constitute the restructured Balance Sheet of the Transferee Company as on the appointed date.

PART IV — GENERAL TERMS AND CONDITIONS

22 APPLICATION TO TRIBUNAL

The Transferor Companies and The Transferee Company shall, with reasonable efforts make necessary application(s) jointly or separately to National Company Law Tribunal for sanctioning and carrying out of the Scheme and for dissolution of The Transferor Companies without winding up under the Provisions of the Law and to obtain all approvals as may be required.

23 MODIFICATIONS / AMENDMENTS TO THE SCHEME

a The Transferor Companies and the Transferee Company through their respective Boards of Directors including Committees of Directors or other persons, duly authorised by the respective Boards in this regard, may make, or assent to, any alteration or modification to this Scheme or to any

For, Om Shakti Fabrics Pvt. Ltd. For, Shree Gajanand Silk Mills Pvt. Ltd.

Director / Authorised Signatory

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conditions or limitations, which the Court or any other Competent Authority may deem fit to direct, approve or impose and may give such directions including an order of dissolution of the Transferor Companies without process of winding up as they may consider necessary, to settle any doubt, question or difficulty, arising under the scheme or in regard to its implementation or in any manner connected therewith and to do and to execute all such acts, deeds, matters and things necessary for putting this Scheme into effect, or to review the portion relating to the satisfaction of the conditions to this scheme and if necessary, to waive any of those (to the extent permitted under law) for bringing this scheme into effect.

b If any part or provision of this Scheme if found to be unworkable for any reason whatsoever, the same shall not, subject to the decision of the Transferor Companies and the Transferee Company, affect the validity of implementation of the other parts and/or provisions of the Scheme. If any Part or provision of this Scheme hereof is invalid, ruled illegal by any Court of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the Transferor Companies and the Transferee Company that such Part or provision, as the case may be, shall be severable from the remainder of the Scheme, and the Scheme shall not be affected thereby, unless the deletion of such Part or provision, as the case may be, shall cause this

For, Om Shakti Fabrics Pvt. Ltd.
Director/Auth.

For, Shree Gajanand Silk Mills Pvt. Ltd.
Director/Auth.

For, Shakti Fabrics Pvt. Ltd.
Director/Auth.

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Scheme to become materially adverse to the Transferor Companies and the Transferee Company, in which case the Transferor Companies and the Transferee Company shall attempt to bring about a modification in the Scheme, as will best preserve for the Transferor Companies and the Transferee Company the benefits and obligations of the Scheme, including but not limited to such Part or provision.

24 SCHEME CONDITIONAL ON APPROVALS/ SANCTIONS

This Scheme is conditional upon the following approvals/events and the Scheme shall be deemed to be effective on obtaining last of the following approvals and the occurrence of the last of the following events:

a The approval of the scheme by the requisite majority of the members and creditors of the Transferor Companies and the Transferee Company, as the case may be as required under section 230 of the said Act.

b The sanction of the scheme by the National Company Law Tribunal, Ahmedabad Bench under section 230 read with section 232 of the said Act and other applicable provisions of the said Act, rules and regulations, as the case may be.

c Certified copies of the National Company Law Tribunal orders being filed with the Registrar of Companies, NCLT Ahmedabad.

d Such other sanctions and approvals including sanctions of any Governmental or Regulatory Authority, as may be

For, Om Shakti Fabrics Pvt. Ltd.

For, Shree Gajanand Silk Mills Pvt. Ltd.

For, Radhi Fabrics Pvt. Ltd.

Director

Director

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required by law in respect of the scheme.

25 **EXPENSES CONNECTED WITH THE SCHEME:**

All costs, charges and expenses of the Transferor Companies and the Transferee Company respectively in relation to or in connection with the Scheme and of carrying out and implementing/completing the terms and provisions of the Scheme and/or incidental to the completion of amalgamation of the said undertaking of the Transferor Companies in pursuance of the Scheme shall be borne and paid solely by the Transferee Company.

26 **EFFECT OF NON-RECEIPT OF APPROVALS:**

In case the scheme is not sanctioned by the National Company Law Tribunal or in case any of the consents, approvals, permissions, resolutions, agreements, sanctions or conditions enumerated in the Scheme not being obtained or complied or for any other reason the scheme cannot be implemented by such date as may be agreed by the Board of Directors of Transferor Companies and Transferee Company, the Scheme shall become null and void, and in that event no rights and liabilities whatsoever shall accrue to or be incurred to or be incurred inter-se by the parties or their shareholders or creditors or employees or any other person. In such a case each Company shall bear its own cost, charges and expenses in connection with the scheme unless otherwise mutually agreed.

For, Shree Gajanand Silk Mills Pvt. Ltd.

For, Om Shakti Fabrics Pvt. Ltd.

Director / Auth.

Director / Auth.

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Annexure-B

SHREE GAJANAND SILK MILLS PRIVATE LIMITED

A3/3011, REGENT TEXTILE MARKET
NEAR KOHINOOR MARKET, RING ROAD,
SURAT, GUJARAT-395002

Ph: 9374612484 CIN: U17120GJ2010PTC063048 Email: sunilanil83@yahoo.co.in

Ref No. Date:

List of Assets to be Transferred to Khushi Fabric Private Limited pursuant to Scheme of amalgamation

Annexure B

Schedule

First Part

Particulars of freehold property of transferor companies as on 21/09/2023

Sr.	Particulars	Amount
1	Nil	Nil

Second Part

Particulars of leasehold property of transferor companies as on 21/09/2023

Sr.	Particulars	Amount
1	Nil	Nil

Third part

Particulars of stock, shares, debentures and other charges in action of the transferor companies as on 21/09/2023

Sr.	Particulars	Amount
1.	Balance HDFC Bank	46840.59
2.	Cash	56443.42
3.	Fan	435.00
4.	Vehicles	2800.00
5.	Aircondition	9294.00
6.	Computer and Printer	4588.00
7.	Water filter	2325.00
8.	Other current Assets	30213.00

For, Shree Gajanand Silk Mills Pvt. Ltd.

Director/Auth.

SUBHASH CHAND GAJAJAND GOYAL
DIN : 0002016138

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

OM SHAKTI FABRICS PRIVATE LIMITED

A3/3011, REGENT TEXTILE MARKET
NEAR KOHINOOR MARKET, RING ROAD
SURAT, GUJARAT -395002
Ph: +919374612484

CIN: U17291GJ2008PTC052888
Email: fashionkhushi@yahoo.com
GstNo.: 24AADCG0852A1ZB

Ref No. Date:

List of Assets to be Transferred to Khushi Fabric Private Limited pursuant to Scheme of amalgamation

Annexure B

Schedule

First Part

Particulars of freehold property of transferor companies as on 21/09/2023

Sr.	Particulars	Amount
1	Nil	Nil

Second Part

Particulars of leasehold property of transferor companies t as on 21/09/2023

Sr.	Particulars	Amount
1	Nil	Nil

Third part

Particulars of stock, shares, debentures and other charges in action of the transferor companies as on 21/09/2023

Sr.	Particulars	Amount
1.	Balance HDFC Bank	166930.84
2.	Cash	442440.91
3.	Subsidy	629000.00
4.	Fan	510.00
5.	Mobile Purchase	1689.56
6.	Vehicles	6253.00
7.	Sundry Debtors	1399312.00
8.	Closing Stock	105277.00
9.	Other Current Assets	9478.32

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

For, Om Shakti Fabrics Pvt. Ltd.

Jyoti S. Goyal

Director/Auth.

JYOTI SHRIKANT GOYAL
DIN : 02355939